

EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment

Large Cap (>\$200B) · Report Date: June 29, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-06-29

BUY

Composite · Valuation: OVERWEIGHT

Target \$147.66 · +25.4% upside

Price \$117.78

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$147.66 (+25.4% vs \$117.78); Median 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	OVERWEIGHT	Blended PT \$147.66	45%
FSA	Strong	Health +0.25 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +76%	15%
Composite	BUY	Score +0.64 · 100% confluence	—

Valuation + technical aligned bullish; solid financial statement profile.

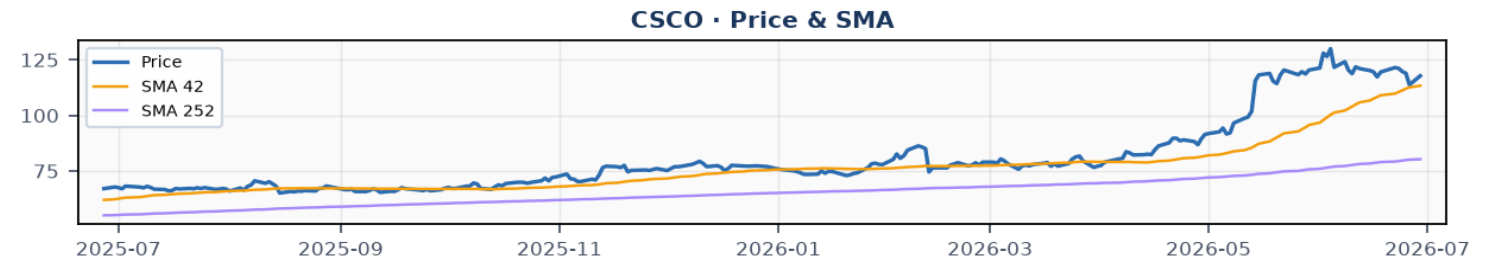
INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the... **OVERWEIGHT** rating; blended target \$147.66. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$464.24B	Shares Out.	3941.4M
52-Week Range	\$65.75 – \$130.37	P/E (TTM)	39.3x
P/B	9.5x	Beta	1.00
Avg Volume	23.91M	Analyst Rec.	Buy
Revenue (TTM)	\$60.75B	Rev Growth	+12.0%
Op. Margin	25.0%	FCF (TTM)	\$13.29B
Gross Margin	64.3%	ROE	25.2%
EV/EBITDA	27.3x	Debt/Equity	67.5%
EPS (TTM)	\$3.00	Div Yield	1.5%

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	53,803	56,654	63,452	69,258	74,214
Revenue Growth (%)	N/A	5.3%	12.0%	9.1%	7.2%
Net Income (\$M)	10,320	10,180	11,402	12,445	13,335
Gross Margin (%)	64.7%	64.9%	64.3%	64.3%	64.3%
Net Margin (%)	19.2%	18.0%	18.0%	18.0%	18.0%
EPS (\$)	2.62	2.58	2.89	3.16	3.38
P/E (x)	44.98	45.60	40.72	37.30	34.81

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$113.37	Short-term trend	12m Momentum	+75.5%	
SMA (252d)	\$80.31	Long-term trend	3m Momentum	+53.7%	
RSI (14d)	39.0	Momentum oscillator	Ann. Volatility	25.0%	
Trend	Bullish		Sharpe Ratio	0.67	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-36.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+72.1%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$113.37, SMA252=\$80.31	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	24.6%	B&H; 32.6%

VALUATION CROSS-CHECK · DCF (SIMON FCFE)

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes	Item	Value
DCF (Simon FCFE) Comps — Blended	\$72.44	-38.5%	0% (excluded)	Not a diverges >55% below comparable implied operating	Ke · Terminal g	9.52% · 4.00%
(median of multiples)	\$168.13	+42.7%	—		FCFE growth	6.00%
Analyst consensus (Yahoo Finance)	\$127.18	+8.0%	—	company included in blend Median 100%;	Equity value	\$285.52B
Blended target (weighted)	\$147.66	+25.4%	100%	pre-cap \$159.94 -> \$147.66	Implied price	\$72.44
					vs. current	-38.5%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ANET	Arista Networks, Inc.	\$206.06B	56.0x	43.9x	38.3%	+35.1%
MSI	Motorola Solutions, In	\$68.72B	33.4x	21.6x	17.6%	+7.4%
CIEN	Ciena Corporation	\$67.68B	158.3x	86.9x	7.9%	+39.5%
CSCO*	Cisco Systems, Inc.	\$464.24B	39.3x	27.3x	19.7%	+12.0%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (12.0% YoY); Healthy operating margins (25.0%); Sector: Technology | Industry: Communication Equipment · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.